- Let's say that you decide to ration the water and take small sips over a longer period of time. As a result, you have the energy and hydration you need to search for more water.
- However, while you are searching, you come across a cactus that has a small amount of water inside. It's not a lot, but it's enough to quench your thirst for the moment. If you had decided to drink all of your water at once, you might not have had the energy to search for more water and come accoss the cactus. In this case, the **opportunity cost** of drinking all of your water at once would have been the chance to find the cactus and get more hydration.

This example illustrates how opportunity cost involves not just the immediate **trade-off** between two options, but also the potential future opportunities that may be gained or lost as a result of our choices. Our willingness to give up a larger reward in the future in exchange for a smaller reward now is influenced by our **time preference**, or how much we value immediate gratification versus long-term planning.

Corporations, Governments, and Societies also have to make choices.

CORPORATIONS	GOVERNMENTS / SOCIETIES
Firing 200 Employees vs. Freezing Wages	Building a New Highway vs. Increasing Teacher Salaries
Asking for a Loan vs. Bringing in more Shareholdes	Funding Cance Treatment Research vs. Clean Energy

1.3 Definition of Money

1.3.1 We Can Use It, but Can We Define It?

Have you ever stopped to think about what money really is? Ever even wonder what makes money, well, money? Most of us know how to use it, but not many of us understand where it comes from or how it works.

Money is essentially a way to exchange goods and services. It represents the value of these items in a form that can be easily traded.